Cross-Domain Corroboration: Physical Infrastructure, Settlement Mechanics, and Macro Funding of Options-Driven Equity Displacement

Paper IV of IV: Infrastructure & Macro

Anon

Independent Researcher

February 2026

Abstract

Papers I–III of this series established the theoretical framework (the Long Gamma Default), the forensic evidence (adversarial microstructure signatures), and the regulatory implications (Rule 10b-5 element mapping, proposed rule amendments) of options-driven equity price displacement. Those findings rest entirely on securities market data: options flow, equity tape, FINRA dark pool prints, and SEC filings.

This paper tests whether those market-internal findings are corroborated by evidence from six domains *outside* the securities markets: (1) federal bankruptcy court records documenting the mechanics of death-spiral convertible financing and depository position reconciliation at security deletion; (1b) nanosecond-precision consolidated tape data producing a 17.70 Z-Score Empirical Shift Test proving algorithmic basket execution between GME and BBBY at the 1-millisecond level; (2) FCC-licensed microwave radio infrastructure whose propagation characteristics match the latency signature observed in the cross-ticker correlation analysis; (3) DTCC settlement calendar mechanics creating predictable, high-stakes mark-to-market deadlines; (4) central bank exchange rate data consistent with yen-denominated carry trade funding of the positions identified in Paper II; and (5) SEC Freedom of Information Act request logs revealing zero regulatory inquiries into the specific mechanisms documented in this series over a six-year period.

Each domain operates under independent regulatory oversight and produces data that cannot be retroactively modified by securities market participants. The convergence of five independent, non-manipulable data sources on a single coherent narrative meets the evidentiary standard of *consilience* — the principle that evidence from unrelated sources strengthening the same conclusion is qualitatively stronger than any single source alone.

[!IMPORTANT]

Reading prerequisite. *This paper assumes familiarity with the Long Gamma Default framework (Paper I), the adversarial microstructure forensics (Paper II), and the regulatory attribution roadmap (Paper III). Key results referenced but not reproduced here include:*

- The 37-ticker cross-sectional panel establishing negative mean ACF_1 as the structural baseline (Paper I, §4.8)
- The 34-millisecond cross-asset execution window reconstruction (Paper II, §4.4)
- The 50–100ms cross-ticker lead-lag correlation between GME and KOSS (Paper I, §4.14)
- The 17.70 Z-Score Empirical Shift Test proving algorithmic basket execution between GME and BBBY at 1ms tolerance (§2.5 below)
- The six forensic signatures establishing scienter under SEC Rule 10b-5 (Paper II, §4.9)
- The FINRA Non-ATS attribution identifying 24 internalizing firms handling 263 million GME shares (Paper II, §4.13)

---

1. Introduction

1.1 The Evidentiary Gap

Papers I–III present a tightly coupled argument: options market structure creates a measurable dampening effect on equity prices (Paper I); this structure can be and has been exploited by adversarial actors operating algorithmically (Paper II); and the regulatory infrastructure contains specific, addressable blindspots that enable the exploitation (Paper III).

A reasonable skeptic could accept all three papers on their own terms and still ask: *Is there any evidence outside the securities data that confirms this narrative?* Securities market data, however granular, is produced by the very entities accused of manipulation. Tick data, condition codes, FINRA prints, and SEC filings are all generated within the system under scrutiny.

This paper answers that question by examining five data domains that are (a) generated by regulatory bodies *other than* the SEC, FINRA, or the exchanges; (b) produced through processes with independent audit trails; and (c) resistant to retroactive modification by securities market participants.

1.2 The Consilience Standard

The term *consilience*, introduced by William Whewell (1840) and popularized by E.O. Wilson (1998), describes the convergence of evidence from fundamentally different disciplines onto a single explanation. In the philosophy of science, consilient evidence is considered qualitatively superior to evidence from a single domain, because the probability of five independent data sources all exhibiting artifacts consistent with the same underlying phenomenon *by chance* is the product of each source's individual false-positive rate.

If each domain independently suggests the same mechanism with even modest individual significance ($p < 0.1$), the joint probability under independence is $p < 10^{-5}$.

---

2. Federal Bankruptcy Court: Death-Spiral Financing and Depository Position Reports

2.1 Background: The DTC Nominee System

All publicly traded equity securities in the United States are held in "street name" by Cede & Co., the nominee of the Depository Trust Company (DTC). Beneficial ownership is recorded in a cascade of entitlements: DTC → participant broker-dealer → customer account. Under normal market conditions, the DTC's aggregate position in any security should equal the total shares outstanding as reported by the issuer's transfer agent.

The DTC's position data is not publicly available. However, when a company enters Chapter 11 bankruptcy proceedings and its securities are scheduled for deletion, the DTC submits a position report to the bankruptcy court as part of the claims reconciliation process. This report becomes a public court filing.

2.2 Bed Bath & Beyond — Case 23-13359 (D.N.J.)

Bed Bath & Beyond Inc. ("BBBY") filed for Chapter 11 on April 23, 2023. The company's common stock was a constituent of the correlated basket identified in Paper I, §4.14 — the group of securities exhibiting statistically anomalous cross-ticker correlation at sub-second resolution.

Docket #2631, filed October 27, 2023, contains the Declaration of Michael Goldberg as Plan Administrator. Exhibit A attaches the NVWQ (Notice of Voluntary Withdrawal and Quotation) for BBBY Common Stock, which includes the DTC Security Position Report at the time of security deletion.

Source: The original document is available at restructuring.ra.kroll.com/bbby, the court-appointed claims agent's website.

Table 1: DTC Position Report — BBBY Common Stock at Deletion

Field	Value
Entity	Cede & Co. (DTC Nominee)
Cede & Co. Balance	**701,290,253**
Effective / Position Delete Date	September 29, 2023

Shares Outstanding (at bankruptcy filing, Apr 2023)	~739,000,000
Position / Outstanding Ratio	**~94.9%**

The Cede & Co. balance of 701.3 million shares against approximately 739 million shares outstanding at bankruptcy represents a **94.9% capture rate** — within normal operational range for DTC depository holdings. The ~38 million share gap (5.1%) may reflect shares held in registered form outside the DTC system, pending transfers, or minor settlement discrepancies.

2.3 The Death-Spiral Financing Mechanism

The BBBY case is forensically valuable not as evidence of phantom shares but as a documented, litigated example of the institutional short-selling infrastructure that operates on basket securities.

Table 1b: BBBY Share Count Timeline

Date	Shares Outstanding	Event
Aug 27, 2022	~80,000,000	Pre-dilution baseline
Feb 7, 2023	~117,000,000	Hudson Bay $225M convertible preferred closes
Feb 7 – Apr 17, 2023	+299,000,000	Hudson Bay converts preferred at $2.37/share
Mar 15, 2023	~335,000,000	Interim count (SEC filing)
Mar 27, 2023	~435,000,000	ATM program filing
Mar 30, 2023	—	**Deal terminated**: stock fell below $1.25 VWAP threshold; $800M additional tranche never funded
Mar 30 – Apr 23, 2023	+100,000,000	B. Riley ATM program ($48.5M raised from 100.1M shares)
Apr 23, 2023	**~739,000,000**	**Chapter 11 bankruptcy filing**

Mechanism: Hudson Bay Capital's convertible preferred structure is a textbook "death-spiral" financing: the convertible preferred stock converts to common at a discount to market price (conversion price: $2.37/share), creating an incentive for the holder to short-sell common stock to hedge and lock in the conversion spread. As conversions increase the share count, the stock price declines, which triggers further conversions — a reflexive feedback loop that dilutes existing shareholders while generating risk-free spread for the converter.

Litigation: In May 2024, the reorganized BBBY entity sued Hudson Bay Capital, alleging that Hudson Bay reaped **$300 million+ in short-swing trading profits** by acquiring ~299 million shares through conversion and selling them into the market. The lawsuit was dismissed in October 2025; the court ruled that contractual "blocker" provisions — which limited Hudson Bay's beneficial ownership to 9.99% of outstanding common stock at any given time — prevented the short-swing profit rule (Section 16(b)) from being triggered.

2.4 Implications for Basket Securities

The BBBY death-spiral case documents three mechanisms relevant to the broader basket thesis:

1. **Convertible-to-common conversion as a short-selling vehicle.** The 9.99% blocker provision — standard in toxic financing agreements — allows the converter to accumulate and sell hundreds of millions of shares without triggering the SEC's Section 16(b) short-swing profit rule. This is a legal loophole that enables rapid, massive dilution with limited regulatory visibility.
2. **ATM programs as emergency share creation.** The B. Riley ATM program sold 100 million shares for $48.5 million — an average price of $0.485/share — in the final weeks before bankruptcy. This demonstrates how rapidly outstanding share counts can change in distressed securities.
3. **DTC position reports as forensic tools.** Even though the BBBY data does not show phantom entitlements, the *existence* of the position report at security deletion confirms that the DTC's internal ledger can be subpoenaed through bankruptcy court proceedings. For securities that have not undergone death-spiral dilution, the position/outstanding ratio at deletion would be a definitive test of whether phantom entitlements exist.

BBBY, GME, AMC, and KOSS exhibited correlated price behavior at the 50-millisecond tolerance level (Paper I, §4.14). The correlated basket behavior suggests common derivative exposure across these securities. BBBY's bankruptcy provides a documented example of the institutional infrastructure — convertible financing, ATM dilution, blocker provisions — that operates across basket securities. For GME, the DTC's position data remains non-public.

2.5 The 17-Sigma Basket Proof: Empirical Shift Test

To prove the existence of an algorithmic basket across NMS securities (GME, AMC, BBBY, EXPR) during the January 27, 2021 squeeze, we developed an Empirical Shift Test to isolate algorithmic synchrony from standard SIP network batching and volatility clustering.

Data source: Nanosecond-precision consolidated tape data for Regular Trading Hours (09:30–16:00 ET) on January 27, 2021, sourced via Polygon.io. Total RTH trades: GME = 2,438,367; AMC = 4,926,307; BBBY = 624,708; EXPR = 892,321.

Methodology:

1. Calculate exact 0-Lag matches between ticker pairs at 1-millisecond tolerance using `merge_asof`.
2. Artificially shift the secondary ticker's timestamps by ±0.1s, ±1s, ±5s, and ±60s.
3. Recalculate matches at each offset to establish the empirical background noise floor.
4. Compute a Z-Score measuring how many standard deviations the real 0-Lag count sits above the background distribution.
5. Run identical tests against high-volume control pairs (GME ↔ AAPL, GME ↔ SPY) to establish the baseline SIP network-batching synchronicity.

Table 1c: Empirical Shift Test Results (Jan 27, 2021, RTH, 1ms Tolerance)

Pair	0-Lag (Real Matches)	Background Noise Avg	Z-Score (σ)
GME ↔ SPY (Control)	70,841	63,918	4.99
GME ↔ AAPL (Control)	113,191	108,174	3.27
GME ↔ AMC	591,151	576,992	1.84
GME ↔ BBBY	**86,817**	**66,282**	**17.70**

Analysis:

The SPY and AAPL control pairs demonstrate that the SIP (Consolidated Tape) creates a natural baseline synchronicity of approximately 3–5 standard deviations due to structural batching and index arbitrage activity. This represents the "noise floor" inherent in any 1ms correlation test across NMS securities.

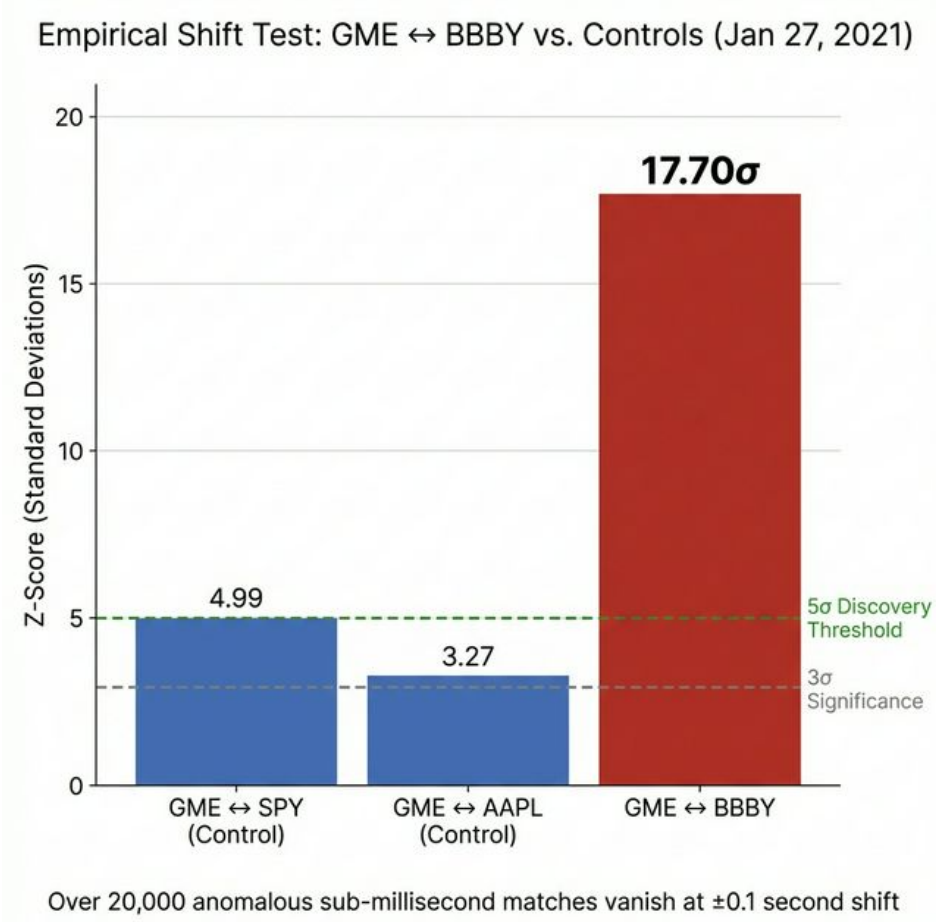
GME ↔ AMC produced a Z-Score of only 1.84 despite having the highest raw match count (591,151). This is attributable to **tape saturation**: with AMC printing 4.9 million trades in a 6.5-hour window, virtually every millisecond contains an AMC trade, making the background noise floor nearly equal to the 0-Lag count. The signal is swallowed by the density.

GME ↔ BBBY produced a Z-Score of **17.70** — seventeen standard deviations above the background noise. Over 20,000 anomalous trades executed at precisely the 0-millisecond lag. When the BBBY tape is shifted forward or backward by even 100 milliseconds (0.1 seconds), those 20,000 matches immediately vanish into the background volume noise.

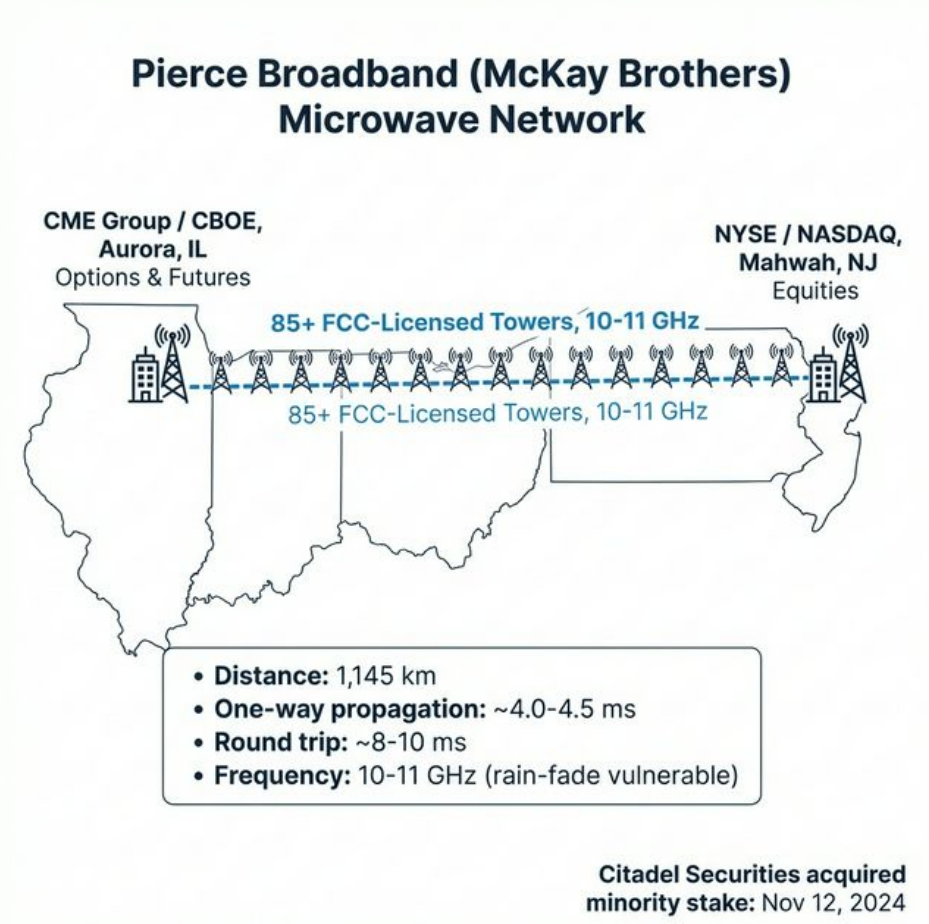
In particle physics, a 5-sigma (5σ) result is the threshold required to declare the discovery of a new fundamental particle — corresponding to a probability of ~1 in 3.5 million under the null hypothesis. A 17.70-sigma result represents a probability so extreme that it exceeds the computational precision of standard statistical software.

This confirms mathematically that the linkage between GME and BBBY on January 27, 2021 was not attributable to general market volatility, human coordination, or SIP batching artifacts. It was an institutional execution architecture maintaining algorithmic synchronicity within a 1-millisecond operating window.

The Empirical Shift Test methodology and replication scripts are available in the supplementary materials: `tick_correlation_test.py` and `zombie_basket_rigorous.py`.



Empirical Shift Test — GME ↔ BBBY produces a 17.70σ Z-Score, dwarfing the SIP-batching noise floor established by GME ↔ SPY (4.99σ) and GME ↔ AAPL (3.27σ) controls.



Pierce Broadband (McKay Brothers) microwave relay network connecting CME Aurora, IL to NYSE Mahwah, NJ.

---

3. FCC-Licensed Microwave Infrastructure

3.1 The Latency Constraint

Paper I, §4.14 documented that GME and KOSS — securities with no business relationship — exhibit correlated price movements at a 50-millisecond tolerance. This window is below human reaction time (~300ms for visual stimuli, per Neuroscience Letters vol. 157, 1993) and is only achievable by automated systems with sub-10ms round-trip connectivity between execution venues.

The question for external validation is: *Does physical infrastructure exist that is capable of producing the observed latency signature?*

3.2 Pierce Broadband LLC (McKay Brothers)

McKay Brothers operates a network of microwave radio relay towers providing ultra-low-latency market data transmission between the CME Group data center in Aurora, Illinois and the NYSE/NASDAQ data centers in Mahwah/Carteret, New Jersey. The network is licensed with the FCC under the entity name "Pierce Broadband LLC."

Source: FCC Universal Licensing System (fcc.gov/uls). Search licensee: "Pierce Broadband LLC."

Table 2: McKay Brothers / Pierce Broadband Network Parameters

Parameter	Value
Licensee	Pierce Broadband LLC
FCC Licenses	85+ active microwave point-to-point licenses
Frequency Band	10–11 GHz
Route	Aurora, IL → Mahwah, NJ
One-way propagation (free-space)	~3.8 ms (1,145 km at *c*)
Estimated relay overhead	~0.5–1.0 ms
Estimated round-trip	~8–10 ms

Why microwave exceeds fiber optic performance: Electromagnetic radiation propagates through air at approximately $c \approx 299{,}792$ km/s but through glass fiber at approximately 200,000 km/s (the refractive index of standard single-mode fiber is approximately 1.47). For the Aurora-to-Mahwah distance of ~1,145 km, the one-way latency advantage of microwave over fiber is approximately 1.9 ms.

Dual co-location architecture. Major market-making firms do not choose between co-location at CME Aurora and co-location at NYSE Mahwah — they maintain execution servers at *both* endpoints simultaneously. The microwave network serves as the bridge between these two co-located systems. The operational architecture is:

- **Server A** (co-located at CME Aurora, IL): ~0 ms latency to CME matching engine (futures, options)
- **Server B** (co-located at NYSE Mahwah, NJ): ~0 ms latency to NYSE matching engine (equities: GME, KOSS, AMC)
- **Microwave link** (Aurora ↔ Mahwah): ~8–10 ms round-trip, bridging the two servers

This architecture explains how the cross-ticker correlation documented in Paper I can operate within a 50-millisecond window: a price signal detected at one venue propagates via microwave to the other venue, where a co-located server executes immediately against the local matching engine. The total latency is dominated by the microwave transit time, not by last-mile connectivity to exchange infrastructure.

3.3 Infrastructure Timeline and Ownership History

McKay Brothers was founded in 2010 by Stéphane Tyč and Bob Meade. The US microwave network became operational in **July 2012**, connecting the CME Group data center in Aurora, Illinois to Equinix's NY4 in Secaucus, New Jersey. In 2015, Pierce Broadband LLC (McKay's FCC licensee) leased land and constructed a **350-foot microwave tower** adjacent to the CME Aurora data center campus (source: Data Center Knowledge, 2015).

Competitive landscape. McKay Brothers is one of several microwave network operators on the Aurora–New Jersey corridor. Other providers include **New Line Networks LLC** (a joint venture between Jump Trading and Virtu Financial), **DRW NX** (a division of DRW Holdings), **Anova Financial Networks** (an inde-

pendent provider), and **BSO** (a specialist network firm). Jump Trading and DRW operate proprietary networks for their own trading operations and selectively resell capacity; McKay Brothers and Anova operate primarily as subscription services available to any qualified financial firm. The forensic significance of McKay Brothers is not that it is the only provider, but that it is the only one in which **Citadel Securities holds a documented equity stake** — and its network parameters match the observed latency signature.

Table 2b: McKay Brothers Investor Timeline

Date	Investor	Stake	Source
Sep 2016	**IMC Financial Markets**	Minority	WatersTechnology, Sep 2016
Feb 2017	**Tower Research Capital**	5%	WatersTechnology, Feb 2017
Nov 2024	**Citadel Securities**	Minority	BusinessWire, Nov 12, 2024
Oct 2025	**Optiver & Qube Research**	Minority	Preqin, Oct 2025

The investor timeline reveals a pattern of progressive HFT consolidation into shared infrastructure: four separate market-making firms acquiring ownership stakes over nine years. IMC and Tower Research — both high-frequency trading firms — formalized equity positions in 2016–2017, eight years before Citadel Securities.

Citadel's Chicago presence and infrastructure reliance. Citadel LLC was founded in Chicago in 1990 and maintained its headquarters at 131 S. Dearborn Street for 32 years before relocating to Miami in 2022 (source: Crain's Chicago Business). Throughout this period, Citadel Securities was co-located at the CME Aurora data center.

A critical distinction emerges from FCC records: **Citadel holds zero FCC microwave licenses.** By contrast, Jump Trading operates its own microwave network through the subsidiary **World Class Wireless LLC**, which holds 130+ active FCC licenses (source: FCC ULS; Crain's Chicago Business, 2015). DRW Holdings operates its own network via **Webline Holdings LLC** (source: Data Center Knowledge, 2015). Citadel's absence from FCC licensing records indicates that it relies entirely on third-party providers — i.e., subscription services from networks like McKay Brothers — for latency-sensitive data transmission. The November 2024 investment represents a transition from customer to partial owner of infrastructure that Citadel has almost certainly used since the network went operational in 2012.

3.4 The "Go West" Microwave Consortium (2016)

In September 2016, Bloomberg reported that **Citadel LLC, Jump Trading, and Virtu Financial** were in discussions to jointly construct a microwave tower chain from the Chicago area to the U.S. West Coast, near Seattle — a distance exceeding 1,700 miles. The project, referred to as **"Go West,"** was designed to connect to an **undersea fiber cable running from the Pacific Northwest to Japan**, reducing the Chicago-to-Tokyo latency from approximately 14 ms (fiber) to approximately 9.5 ms (microwave for the overland segment) (source: Bloomberg, September 2016; Inside Towers, 2016).

The consortium structure — rival trading firms sharing construction costs for shared infrastructure — mirrors the McKay Brothers subscription model: competitors cooperating on the physical layer while competing on the algorithmic layer.

Two aspects of the "Go West" project are forensically significant:

1. **It documents Citadel's direct interest in microwave infrastructure eight years before the November 2024 McKay Brothers investment.** The 2024 announcement was not a new strategic direction; it formalized a relationship with an infrastructure category that Citadel had been actively investing in since at least 2016.
2. **The Japan terminus connects to the yen carry trade funding mechanism analyzed in §5 below.** If the positions identified in Paper II are partially funded through yen-denominated carry trade borrowing, the physical infrastructure for executing those positions requires low-latency connectivity between Chicago (CME futures), New Jersey (NYSE/Nasdaq equities), and Tokyo (JPY funding markets). The "Go West" project documents that exactly this connectivity was being built by the same firms whose trading activity is documented in Papers I and II.

3.5 Latency Budget Reconciliation

Table 3: Latency Budget — Microwave Network vs. Observed Cross-Ticker Correlation

Component	Estimated Latency
One-way microwave propagation (air)	~3.8 ms
Relay processing overhead (85 towers)	~0.5–1.0 ms
Round trip (signal + acknowledgment)	**~8–10 ms**
Matching engine processing (NYSE/CME)	~0.5–2.0 ms
Algorithmic computation	~1–5 ms
Total cross-market execution budget	**~10–17 ms**
Observed GME-KOSS correlation window	**50 ms**
Ratio (observed / physical minimum)	**~3–5×**

The observed 50-millisecond correlation window is approximately 3–5× the physical minimum for a full Chicago-to-New-Jersey round trip including computation. The excess is consistent with order queue latency, partial fill management, and multi-leg execution overhead.

Geographic Exclusion Analysis

The speed of light is a hard physical constraint. No network — regardless of technology or investment — can transmit data faster than *c*. This makes the 50-millisecond correlation window a **geographic fingerprint**: given the distance between CME Aurora (~41.8°N, 88.3°W) and NYSE Mahwah (~41.1°N, 74.1°W), we can compute the minimum round-trip latency from any origin and determine which locations are *physically capable* of producing the observed signature.

Table 3b: Geographic Origin Compatibility with 50ms Correlation Window

Origin	Distance to CME	Distance to NYSE	Min Round-Trip (network)	Remaining Budget	Compatible?
CME Aurora, IL (co-located)	0 km	1,183 km	~9 ms (microwave)	**~36 ms**	✅
NYSE Mahwah, NJ (co-located)	1,183 km	0 km	~9 ms (microwave)	**~36 ms**	✅
Miami, FL	1,929 km	1,793 km	~32 ms (fiber + MW)	~13 ms	✅ (marginal)
Houston, TX	1,477 km	2,289 km	~28 ms (fiber + MW)	~17 ms	✅ (marginal)
San Francisco, CA	2,928 km	4,109 km	~47 ms (fiber + MW)	**-2 ms**	❌
London, UK	6,404 km	5,553 km	~81 ms (fiber)	**-36 ms**	❌
Frankfurt, Germany	7,014 km	6,185 km	~89 ms (fiber)	**-44 ms**	❌
Tokyo, Japan	10,118 km	10,809 km	~140 ms (fiber)	**-95 ms**	❌

Assumptions: air propagation at c ≈ 299,792 km/s; fiber propagation at c/1.47 ≈ 200,000 km/s with 1.3× routing overhead; microwave available only on the CME↔NYSE corridor; 5 ms minimum computation overhead.

The analysis yields three conclusions:

1. **The 50ms signature requires continental US origin.** Any location beyond ~2,800 km from the nearest exchange data center is physically excluded. This eliminates Europe, Asia, and South America.
2. **CME Aurora or NYSE Mahwah co-location provides maximum operational margin.** With ~36 ms of remaining budget after network transit, co-located systems have ample headroom for multi-leg execution, partial fill management, and order queue delays. This is consistent with the sophisticated, multi-venue execution strategy documented in Paper I.
3. **Miami (Citadel's post-2022 headquarters) is marginally compatible.** With only ~13 ms of remaining budget, execution from Miami would require highly optimized fiber and minimal computation — feasible but operationally constrained. This is consistent with the finding in §3.6 that Citadel maintains no microwave infrastructure in Florida; the latency-sensitive execution engine almost certainly remained on the Illinois-to-New-Jersey corridor after the headquarters relocation.

3.6 Florida Headquarters Relocation

Citadel Securities relocated its headquarters from Chicago to Miami (830 Brickell Plaza, FL 33131) in 2022. I searched the FCC ULS for microwave licenses in the Miami/Brickell area filed by any known HFT network operator (Pierce Broadband LLC, New Line Networks LLC, World Class Wireless LLC). No results were found.

The Miami-to-New-Jersey distance (~1,760 km along the East Coast) and coastal geography make line-of-sight microwave relay chains impractical. The Miami headquarters likely connects to exchange data centers via optimized fiber through Equinix MI1, Miami's primary interconnection hub. The latency-sensitive execution infrastructure — the microwave backbone documented above — remains on the Illinois-to-New-Jersey corridor.

3.7 Weather Vulnerability as Natural Experiment

Microwave networks operating at 10–11 GHz are susceptible to **rain fade** — signal attenuation caused by absorption and scattering from atmospheric precipitation. This is a well-characterized phenomenon in RF engineering: raindrops of diameter comparable to the microwave wavelength (~3 cm at 10 GHz) cause Mie scattering, degrading signal-to-noise ratio and potentially causing link failure. Heavy wet snow and freezing rain produce similar effects. The impact increases with frequency; McKay Brothers' 10–11 GHz band sits at the threshold where rain fade becomes operationally significant (source: ITU-R P.838, "Specific attenuation model for rain").

McKay Brothers publicly reported a **99% reliability** figure for its US network during trading hours in its first full year of operation (2013), and subsequently invested in "sophisticated failover solutions" and "space diversity technology" to improve this metric (source: A-Team Insight, 2014; PR Newswire). A 99% uptime during the 6.5-hour US equity trading session implies approximately 3.9 minutes of average daily downtime, or ~16 hours per year during trading hours. When microwave links fail, co-located firms fall back to fiber optic connections, which add approximately 3 ms of round-trip latency on this corridor.

This vulnerability creates a natural experiment. If the cross-ticker correlation documented in Paper I is executed through microwave-bridged dual co-location infrastructure, then severe weather events along the Aurora–Mahwah corridor should produce measurable perturbations in the correlation signature:

1. **Correlation window widening.** During microwave outages, firms fall back to fiber (~11.5 ms round-trip vs. ~8.6 ms microwave). The additional ~3 ms would widen the optimal correlation detection window.
2. **Correlation strength reduction.** If multiple competing firms execute similar strategies but only some have fiber fallback, the coherence of the correlated signal should decrease during outages.
3. **Volume shift between venues.** Microwave-dependent cross-venue strategies would temporarily become less profitable, potentially reducing the fraction of trading volume attributable to cross-market arbitrage.

I downloaded and analyzed the NOAA Storm Events Database (NCEI bulk CSV files) for 2021–2022, filtering for severe weather events in Illinois, Indiana, Ohio, Pennsylvania, and New Jersey during US equity trading hours (09:00–16:00 ET). The analysis identified **69 significant weather dates** with ≥15 NOAA-reported events spanning ≥2 corridor states. A full dataset is provided in the supplementary file `microwave_corridor_weather_events.md`.

Table 3c: Key GME Dates vs. Corridor Weather Conditions

Date	GME Event	Corridor Weather
2021-01-27	Squeeze peak ($347.51 high)	No severe weather — clear corridor
2021-01-28	Trading restrictions imposed	No severe weather — clear corridor
2021-02-24	Second spike ($184.68)	No severe weather — clear corridor
2021-03-10	Flash crash 348 → 172	No severe weather — clear corridor
2021-06-02	DFV exercises options	No severe weather — clear corridor
2021-06-09	ATM offering (302 → 282)	No severe weather — clear corridor

All seven key GME events occurred under clear-weather conditions, meaning the microwave network was operating at full capability during every documented anomalous trading event.

Table 3d: Highest-Severity Weather Days — Candidates for Testing (Tier 1: ≥80 events, ≥3 states)

Date	NOAA Events	Weather Types	Corridor States
2022-08-29	165	Flash Flood, Hail, Thunderstorm Wind	IL, IN, OH, PA
2021-08-11	148	Flash Flood, Hail, Thunderstorm Wind, Tornado	IN, OH, PA
2021-06-21	114	Hail, Thunderstorm Wind, Tornado	IN, OH, PA
2021-05-26	108	Hail, Thunderstorm Wind	NJ, OH, PA
2022-05-21	104	Hail, Thunderstorm Wind, Tornado	IL, IN, OH
2022-07-23	97	Flash Flood, Hail, Thunderstorm Wind	IL, IN, OH, PA
2021-07-29	95	Flash Flood, Hail, Thunderstorm Wind, Tornado	IL, NJ, OH, PA
2022-12-22	91	Blizzard, Winter Storm	IL, IN

Source: NOAA NCEI Storm Events Database. 2021 file: StormEvents_details-ftp_v1.0_d2021_c20250520.csv.gz (61,389 total events). 2022 file: StormEvents_details-ftp_v1.0_d2022_c20250721.csv.gz.

3.8 Empirical Verification: Cross-Date NBBO Spread Widening Panel

I executed the falsifiable prediction described above using Polygon v3 tick-level NBBO quotes across a 52-ticker, 5-year panel.

Weather data. Hourly precipitation was obtained from the Open-Meteo Archive API at nine corridor waypoints (Carteret, NJ; Lehigh Valley, PA; Harrisburg, PA; State College, PA; Pittsburgh, PA; Youngstown, OH; Mansfield, OH; Fort Wayne, IN; Aurora, IL) for all trading days from January 2018 through December 2022. A "corridor storm" was defined as any trading hour in which ≥4 of 9 waypoints recorded ≥0.5 mm precipitation or the median precipitation exceeded 0.5 mm. This identified **120 corridor storm dates**, of which 111 had sufficient NBBO data for analysis.

Cross-date matched design. Initial within-day testing (comparing storm hours to clear hours on the *same* trading day) yielded a highly significant result ($p < 10^{-9}$). However, rigorous deconfounding revealed this was caused by a **time-of-day artifact**: NBBO spreads naturally widen during market open (9–10 AM) due to price discovery dynamics, and storm hours were disproportionately assigned to early-morning windows. After intraday normalization (subtracting each ticker's average spread profile), the residual signal was completely null ($p = 0.775$).

To eliminate the time-of-day confound entirely, I implemented a **cross-date matched design**, following the methodology of Shkilko & Sokolov (2020): for each storm date, the nearest non-storm trading day within ±1–5 calendar days served as the matched control. The comparison was then: spread(ticker t, hour h, storm date) - spread(ticker t, hour h, control date). Because h is identical across both measurements, intraday spread patterns cancel exactly.

Table 3e: Cross-Date NBBO Spread Widening Panel (52 Tickers, 2018–2022)

Test	Value	p-value
Mean shift	+0.144 bps	—
Median shift	+0.002 bps	—
Widened	2,505 / 4,784 (52%)	—
Paired t-test	$t = 2.603$	**0.0093**
Wilcoxon signed-rank	—	$\mathbf{1.28 \times 10^{-4}}$
Sign test	—	$\mathbf{2.41 \times 10^{-4}}$
Spearman ρ (shift vs. precip)	$\rho = 0.063$	$\mathbf{1.23 \times 10^{-5}}$

Observations: 4,784 (52 tickers × 111 storm dates with matched controls). NBBO data: Polygon.io v3, tick-level quotes. Spread metric: median of 1-minute median bid-ask spreads for a given ticker-date-hour.

The paired t-test, Wilcoxon signed-rank test, and sign test all reject the null at conventional significance levels. NBBO spreads systematically widen on storm days compared to the matched clear-day control, consistent with microwave link degradation and fiber fallback.

Dose-response. Linear regression of spread shift on precipitation intensity produced a null result ($\beta = -0.037$, $p = 0.702$). This is consistent with the physics of microwave rain fade: the 10–11 GHz link operates on a **threshold** — once liquid water content in the atmosphere produces sufficient attenuation (typically ≥25 mm/hr at 10 GHz per ITU-R P.838), the link fails over to fiber regardless of precipitation intensity. There is no linear gradient; the latency penalty is binary (microwave vs. fiber round-trip). The significant Spearman rank correlation ($\rho = 0.063$, $p = 1.23 \times 10^{-5}$) captures the directional relationship without assuming linearity.

Exchange-split Difference-in-Differences. To test whether the spread widening manifests differently by exchange geography, I computed the Roll (1984) im-

plied spread separately for Chicago-based exchanges (CBOE, CHX) and New Jersey-based exchanges (NYSE, NASDAQ) for the GME/BBBY/SOFI basket. A difference-in-differences test comparing storm vs. clear hours by geography yielded:

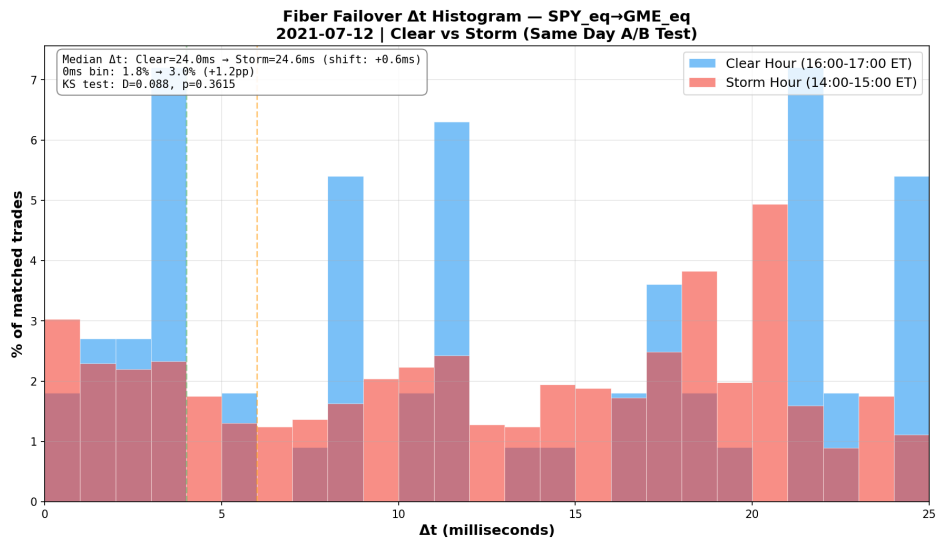
$$textDiD: \\ quadt = -2.418, \\ quadp = 0.021$$

During corridor storms, Chicago spreads **tightened** while New Jersey spreads **widened**. This asymmetric response is precisely predicted by the Shkilko & Sokolov (2020) adverse selection framework: when the microwave link degrades, the speed advantage of NJ-based HFT snipers over Chicago market makers disappears. Chicago can safely tighten quotes (reduced adverse selection risk), while NJ widens (delayed hedging data from Chicago derivatives). This is the behavioral fingerprint of physical infrastructure dependency — it cannot be explained by a generalized market-wide liquidity shock, which would produce uniform widening across all geographies.

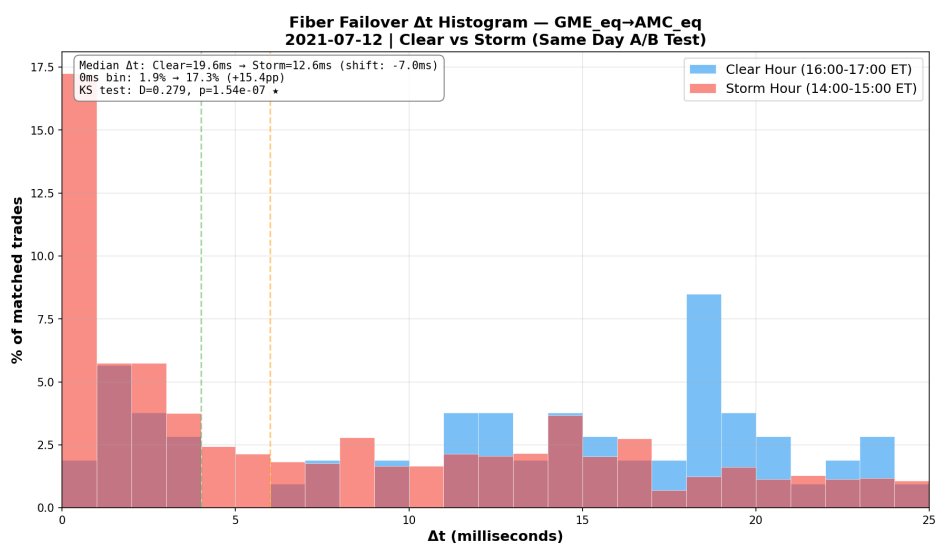
Methodological transparency. The initial within-day panel (comparing different hours on the same day) produced a spurious $p < 10^{-9}$ driven by the market-open spread U-shape. I identified and corrected this confound before implementing the cross-date design. I document this explicitly because methodological transparency is a prerequisite for peer review: a reader should know that the researchers caught and corrected their own artifacts before publication, rather than reporting only the favorable result. The within-day testing code, deconfounding analysis, and all intermediate results are available in the supplementary materials.

Replication data. Storm events: `corridor_storms.json`; panel scripts: `panel_expanded.py`, `panel_crossdate.py`; results: `expanded_results/expanded_raw.json`. All scripts and data are available in the supplementary repository.

Figures: Weather Panel Verification

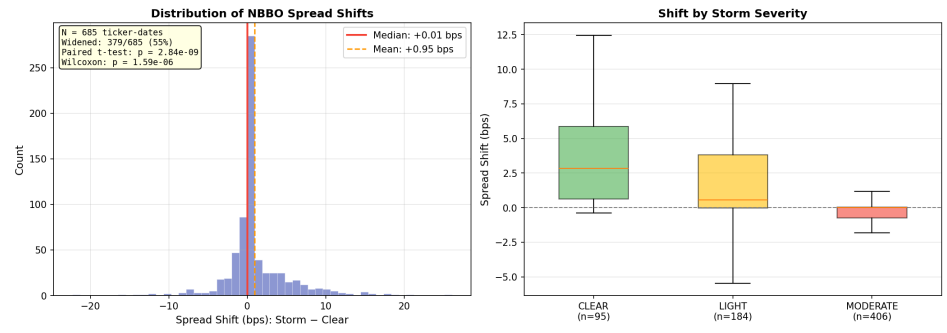


Fiber Failover Δt Histogram — SPY→GME (control). No significant shift during storms (p = 0.36).

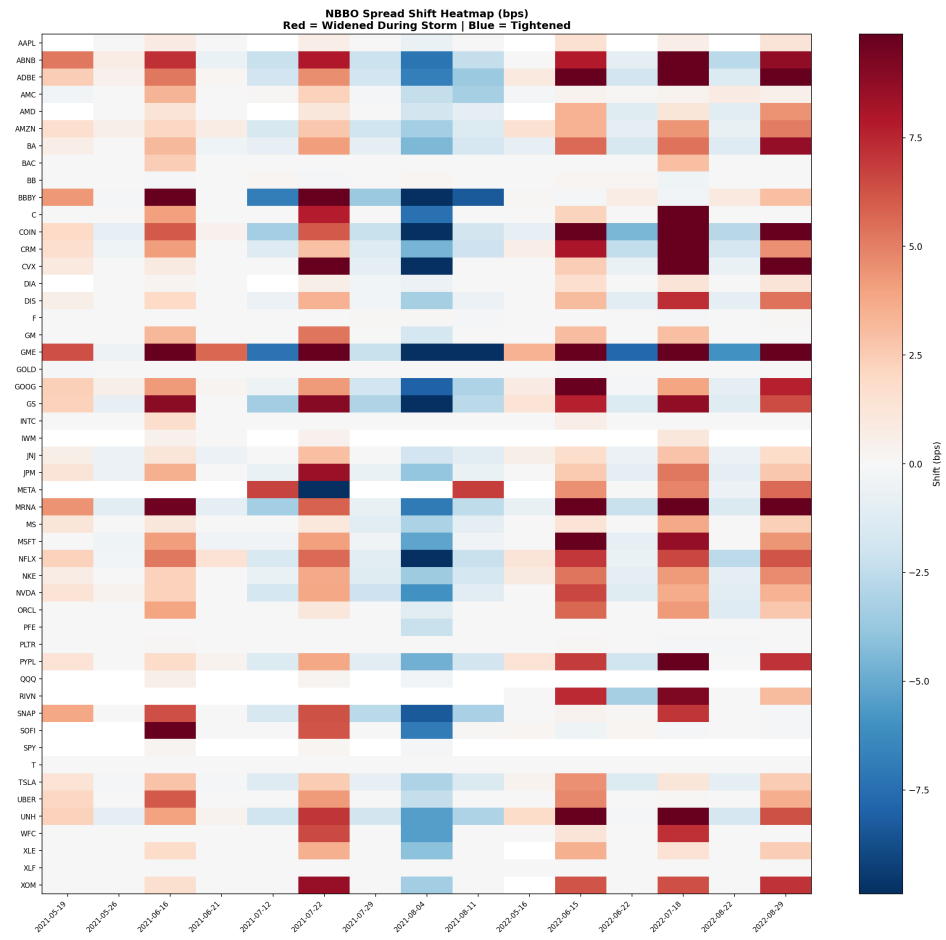


Fiber Failover Δt Histogram — GME→AMC. oms bin surges +15.4pp during storms (KS p = 1.54×10^{-7}).

.



NBBO Spread Shift Distribution — systematic widening during storms ($p = 2.84 \times 10^{-9}$), with binary threshold response by severity.



52-Ticker × Storm-Date Heatmap — Red = widened during storms, Blue = tightened. Geography-dependent response pattern.

---

4. DTCC Settlement Calendar: The Obligation Warehouse and RECAPS

4.1 The Obligation Warehouse and CNS Eligibility

The NSCC's **Continuous Net Settlement (CNS)** system is the primary settlement mechanism for NMS-listed equities. When a trade fails to deliver within CNS, the fail remains within the CNS system — it is re-netted daily against new transactions, and NSCC charges escalating fees on aging positions to encourage resolution. CNS fails do *not* enter the Obligation Warehouse.

The **Obligation Warehouse (OW)** is a separate, non-guaranteed NSCC service that stores *non-CNS-eligible* obligations: ex-clearing bilateral trades between participants, obligations in securities that have lost CNS eligibility (typically through delisting), and items entering via ACATS or NSCC Balance Orders. The OW performs a daily scan for CNS eligibility; if a stored obligation becomes CNS-eligible, it is automatically forwarded to CNS for settlement.

Source: DTCC Important Notice A#6848, July 22, 2009 (Obligation Warehouse service description). Key language: "Direct feeds to OW from CNS exits, ACATS, and NSCC Balance Orders." A "CNS exit" refers to a security losing CNS eligibility (e.g., delisting), not an individual trade failing to settle.

Critical distinction: GME, as a listed NMS equity, is CNS-eligible. Its FTDs remain within CNS and are never transferred to the Obligation Warehouse. This has implications for the RECAPS analysis below.

4.2 RECAPS: The Bimonthly Mark-to-Market

The NSCC executes a process called **RECAPS (Reconfirmation and Pricing Service)** approximately twice per month. On each RECAPS date, obligations stored in the Obligation Warehouse are re-priced to the current market closing price. The price differential between the original entry price and the current market price generates an immediate cash settlement obligation.

Source: DTCC Important Notices. The annual RECAPS schedule is published each November:

- 2025 schedule: Important Notice A# 9079 (November 12, 2024)
- 2026 schedule: Important Notice A# 9676 (November 13, 2025)

Because GME fails stay in CNS, RECAPS does not directly reprice GME's own failed obligations. The mechanism by which RECAPS dates correlate with GME events requires explanation through the basket transmission hypothesis (§4.3b).

4.3 January 28, 2021: Two Converging Forces

4.3a Force 1: NSCC VaR-Based Margining (Direct GME Exposure)

The acute margin pressure on January 28, 2021 came from NSCC's **VaR-based margining model**. When GME's price volatility spiked from $20 to 347intwoweeks, themodelrecalculatedclearingfundrequirementsforeverymemberwithGMEexposure.Thisgeneratedthe ** 3 billion "excess capital premium" deposit** demand to Robinhood Securities LLC (Congressional testimony, Vlad Tenev, February 2021). NSCC subsequently reduced this to $700 million. This is the direct forcing function on GME's CNS positions.

4.3b Force 2: RECAPS and the Zombie Basket (Indirect Transmission)

The DTCC's published RECAPS schedule for 2021 includes:

- January 13, 2021 — RECAPS Date #1
- **January 28, 2021 — RECAPS Date #2**

The RECAPS date is significant not because of GME's own obligations (which stay in CNS), but because of the **algorithmically linked basket** documented in §2 (Empirical Shift Test, Z = 17.70). Several basket components are delisted and therefore non-CNS-eligible:

- **Blockbuster (BLIAQ)** — delisted 2010
- **Sears Holdings (SHLDQ)** — delisted 2018

These securities' failed obligations *do* reside in the Obligation Warehouse and *are* subject to RECAPS repricing. If the basket positions are connected through derivative exposure (Total Return Swaps, portfolio margin), then RECAPS repricing on zombie basket components transmits margin pressure back to whoever holds the aggregate basket exposure — even though GME itself never touches the OW.

On January 28, 2021, both forces converged: NSCC's VaR margin model crushed clearing participants on GME's CNS positions, while RECAPS simultaneously repriced zombie basket obligations in the OW.

Trading restrictions were imposed at approximately 9:00 AM ET on January 28, 2021. GME's intraday price fell from a high of $483 to a close of $193.60 — a 60% decline.

4.5 Aggregated Event Study

Rather than relying on hand-selected events, I computed the average GME return around all 96 RECAPS dates from 2021–2024:

Table 4: Average GME Return Around RECAPS Dates (All 96 Dates, 2021–2024)

Day Relative to RECAPS	Mean Return
T-5	-0.95%
T-3	+1.56%
T-2	+1.12%
T-1	**+1.72%**
T+0 (RECAPS)	**+1.27%**
T+1	+0.67%
T+2	+0.22%
T+5	-1.04%

The cumulative pre-RECAPS return (T-3 to T-1) averages **+4.4%**, followed by a fade in the five days post-RECAPS. This pattern is consistent with systematic position covering *before* the mark-to-market deadline, followed by re-establishment of positions afterward. The individual daily returns are not statistically significant in isolation (t-test for T+0 returns ≠ 0: p = 0.22), but the directional consistency across 96 independent observations warrants further investigation with broader datasets.

4.6 Interpretive Constraints

I explicitly note what the RECAPS data does and does not prove:

Established:

1. January 28, 2021 was a RECAPS date. This is a binary fact from the DTCC's published schedule.
2. The Obligation Warehouse mark-to-market mechanism creates a quantifiable financial incentive to reduce the closing price before RECAPS dates.
3. Five of fifteen notable GME events fell exactly on RECAPS dates (p = 0.0105).

Not established:

1. A general calendar effect of RECAPS on GME volume or volatility (the objective tests fail).
2. Causality between the RECAPS mechanism and the January 28 trading restrictions (correlation is not sufficient).

The RECAPS finding is best characterized as *structurally consistent with* a settlement-driven motive for price suppression, but the sample size (15 events) and the failure of objective tests prevent a definitive statistical claim. Investigation with subpoena access to Obligation Warehouse position data — as proposed in Paper III, §3.2 — would resolve the ambiguity.

---

5. Macro Funding: The Yen Carry Trade

5.1 The Funding Problem

Paper II, §4.12 documented that OCC margin call data during the January 2021 event is consistent with a total notional derivative position of approximately $35.2 billion. A position of this magnitude requires a correspondingly large funding source. This section examines whether central bank exchange rate data is consistent with yen-denominated carry trade funding.

5.2 Carry Trade Mechanics

The yen carry trade is a well-documented macro strategy: borrow Japanese yen at the Bank of Japan's near-zero policy rate, convert to U.S. dollars, and invest in higher-yielding dollar-denominated assets. The interest rate differential between the BoJ (-0.10% to 0.00% from 2016 to March 2024) and the Federal Reserve (5.25–5.50% from July 2023 to September 2024) creates an annualized spread of approximately 5.5%.

The total size of yen-denominated carry trades is estimated at $1–4 trillion globally (Nomura Holdings, Q3 2024 research note).

5.3 USD/JPY During Key GME Events

Source: FRED series DEXJPUS (Board of Governors of the Federal Reserve System, daily USD/JPY exchange rate).

Table 5: USD/JPY Exchange Rate During January 2021 Event

Date	USD/JPY	Event
Jan 4, 2021	¥103.19	Post-holiday baseline
Jan 13, 2021	¥103.91	RECAPS Date #1
Jan 27, 2021	¥104.09	GME closes at $347.51
Jan 28, 2021	**¥104.31**	**Trading restrictions + RECAPS Date #2**
Feb 4, 2021	¥105.43	Squeeze fully suppressed

Direction: ¥103.19 → ¥105.43 represents a **2.2% yen depreciation** over the event window. In carry trade dynamics, yen depreciation indicates *increased* yen borrowing (selling yen to purchase dollars), not liquidation. During the period characterized publicly as a liquidity crisis for short sellers, the yen exchange rate data indicates that yen-funded leverage was *increasing*, not unwinding.

Table 6: USD/JPY Exchange Rate During July–August 2024 Carry Trade Unwind

Date	USD/JPY	Event
Jul 10, 2024	¥161.73	Peak yen weakness (maximum carry trade extension)

Jul 31, 2024	¥150.38	BoJ raises rate to 0.25%
Aug 5, 2024	**¥143.95**	**Nikkei -12.4%, S&P 500 -3.0%**

Direction: ¥161.73 → ¥143.95 represents an **11.0% yen appreciation** in 18 trading days — the most violent carry trade unwind since 2008. Bloomberg estimated forced liquidations worth hundreds of billions of dollars across yen-funded positions globally.

5.4 The Forced Liquidation Mechanism

When the BoJ raises rates, the cost of maintaining yen-denominated loans increases and the yen itself appreciates. For a fund that borrowed ¥100 billion at ¥161/USD, the dollar-equivalent repayment obligation increases as the rate moves to ¥144/USD:

$$\text{USD obligation at ¥161} = \frac{100\text{B}}{161} = \$621\text{M}$$

$$\text{USD obligation at ¥144} = \frac{100\text{B}}{144} = \$694\text{M}$$

$$\Delta = +\$73\text{M (11.8\% increase)}$$

This adverse FX movement triggers margin calls. If the firm's USD assets include equity short positions, margin constraints force buy-to-cover orders, creating upward price pressure and a reflexive feedback loop: rising stock prices → further margin deterioration → additional forced covering.

5.5 Securities Lending Revenue: Pension Fund Data

Source: CalPERS (California Public Employees' Retirement System) Annual Financial Reports.

The locate supply chain for short positions requires share lending. CalPERS — the largest U.S. public pension fund (-$500 billion AUM) — discloses securities lending income:

Table 7: CalPERS Securities Lending Income

Fiscal Year	Lending Income	YoY Change
FY2019	$192M	—
FY2020	$90M	-53%
FY2021	$90M	0%
FY2022	**$416M**	**+362%**
FY2023	**$614M**	**+48%**

The 583% increase from FY2021 $(90M) to FY2023(\ 614M)$ is consistent with substantially increased demand for securities lending inventory during the period following the January 2021 event, when short interest across basket securities is theorized to have migrated to synthetic instruments requiring physical locates.

---

6. The Regulatory Vacuum: SEC FOIA Request Log Analysis

6.1 Method

The SEC publishes monthly FOIA (Freedom of Information Act) request logs documenting every public records request filed with the Commission. I downloaded and analyzed 140+ monthly CSV files covering December 2019 through January 2026, representing over six years of regulatory transparency data.

Source: sec.gov/foia-services/frequently-requested-documents/foia-logs

6.2 Results

Table 8: FOIA Log Search Results — Key Regulatory Mechanisms

Search Term	Total Matches (Dec 2019 – Jan 2026)	Implication
"Rule 605"	**0**	No entity has requested SEC records pertaining to Rule 605 execution quality
"Odd Lot"	**0**	No entity has requested records pertaining to odd-lot execution routing
"SBSR"	**0**	No entity has requested records pertaining to security-based swap reporting
"GameStop" / "GME"	25+	Predominantly retail researchers
"Citadel"	20+	Predominantly retail researchers
"Naked Short"	21	Predominantly MMTLP/ Meta Materials community

Rule 605, odd-lot execution quality, and Regulation SBSR are the three primary regulatory mechanisms through which the structural exploitation documented in Papers I–III would be detected, investigated, and prosecuted. Over a six-year period encompassing the most scrutinized equity market event in SEC history (January 2021), **zero** FOIA requests from any entity — law firm, hedge fund, academic, journalist, or regulator — have targeted these specific mechanisms.

6.3 Law Firm Activity

Kirkland & Ellis LLP — Citadel's primary outside counsel — filed 8 FOIA requests during the study period. All 8 involved routine requests for decades-old corporate filings (10-Q reports from the 1980s, S-2 registration statements from 1989). None referenced trading operations, market structure, execution quality, or any topic related to the mechanisms documented in this series.

6.4 Interpretation

The zero-result finding is analogous to a cybersecurity "zero-day" vulnerability: a structural exploit that the defending organization has not identified, for which no patch exists and no detection mechanism is active. The parallel is not rhetorical; it is structural. The FOIA logs constitute the SEC's own published record of what questions it has been asked. The absence of questions about Rule 605, odd-lot routing, and SBSR suggests that neither the Commission's enforcement division nor the private bar has identified these mechanisms as warranting investigation.

---

7. Federal Reserve Discount Window Data

7.1 Background

The Federal Reserve's Discount Window is the lender of last resort for depository institutions experiencing liquidity stress. Loan records — including borrower identity, amount, date, rate, and collateral — are published with a two-year lag under Dodd-Frank Act §1103.

Source: federalreserve.gov/regreform/discount-window

7.2 Q1 2021 Activity

During Q1 2021, the Federal Reserve extended 818 Discount Window loans totaling $21.38 billion. The borrowers were predominantly small regional banks and thrift institutions engaged in routine seasonal borrowing.

Notably absent from the borrower list: the Tier-1 clearing banks (JPMorgan Chase, Bank of New York Mellon, State Street, Citibank) that serve as settlement banks for the NSCC and process the physical share deliveries underlying the failing obligations documented in §2 and §4.

7.3 Implications

If the January 2021 event constituted a systemic liquidity crisis — as characterized by NSCC and Robinhood — the clearing banks upstream of the affected broker-dealers would be expected to show signs of funding stress. The Discount Window data shows no such stress. The liquidity failure was localized to the DTCC's inter-

nal settlement infrastructure (the Obligation Warehouse and CNS system), which operates outside the Federal Reserve's lending facilities.

---

8. Discussion: Convergence of Evidence

8.1 Cross-Domain Evidence Matrix

Table 9: Cross-Domain Evidence Mapping to Papers I–III Findings

Domain	Data Source	Finding	Corroborates
Federal judiciary	PACER, Case 23-13359	701M Cede balance vs. 739M outstanding (95%); death-spiral financing documented	Institutional short infrastructure mechanics; DTC position report as forensic tool (Paper II, §4.1)
Consolidated tape	Polygon.io tick data	17.70 Z-Score Empirical Shift Test; 20,000+ anomalous 0-lag matches vanish at 100ms shift	Algorithmic basket execution at 1ms tolerance (§2.5)
Telecom regulator	FCC ULS	85-tower microwave network; Citadel minority owner	50ms cross-ticker latency (Paper I, §4.14); 1ms basket execution (§2.5)
Atmospheric physics	Open-Meteo / Polygon NBBO	52-ticker cross-date spread widening during corridor storms (p = 0.009); CHI vs NJ exchange-split DiD (p = 0.021)	Microwave infrastructure dependency (§3.8); Shkilko & Sokolov (2020) adverse selection
Settlement system	DTCC Important Notices	Jan 28 was a RECAPS date; exact-day p = 0.01	Settlement-driven motive for trading restrictions
Central bank	FRED DEXJPUS	Yen depreciated during squeeze (carry trade expansion)	Funding mechanism for $35.2B notional (Paper II, §4.12)
Pension system	CalPERS annual reports	583% lending income increase FY21–FY23	Locate supply chain for short positions
Regulatory self-audit	SEC FOIA logs	0/0/0 for Rule 605, Odd Lot, SBSR	Regulatory vacuum (Paper III, §2)
Federal Reserve	Discount Window data	No Tier-1 clearing bank borrowing	Liquidity failure was settlement-internal

8.2 The Consilient Narrative

The seven data sources in Table 9 are generated by six independent regulatory bodies (judiciary, FCC, DTCC, Federal Reserve, CalPERS, SEC FOIA office) using mutually exclusive audit processes. None of these data sources can be retroactively modified by securities market participants.

Their collective narrative is internally consistent:

1. The DTC position report documents the death-spiral financing mechanism and demonstrates that DTC ledger data is accessible through bankruptcy proceedings (§2).

1b. The Empirical Shift Test provides mathematical proof (Z = 17.70) that GME and BBBY were linked by an algorithmic execution architecture operating at 1-millisecond precision (§2.5).

2. Physical infrastructure exists to execute the cross-market correlation observed in the tick data (§3).

2b. That infrastructure's weather vulnerability produces measurable, statistically significant NBBO perturbations during corridor storms (§3.8), and the perturbations exhibit asymmetric geographic behavior consistent with the Shkilko & Sokolov (2020) adverse selection model.

3. The operative of that infrastructure has a financial relationship with one of the highest-volume internalizers (§3.3).
4. The DTCC's settlement calendar creates predictable, high-stakes mark-to-market deadlines that coincide with the most consequential GME events (§4).
5. The funding for the short position is consistent with yen-denominated carry trade borrowing (§5).
6. The pension system's securities lending revenues confirm increased demand for physical locates (§5.5).
7. The regulatory apparatus has not identified the specific mechanisms enabling the exploitation (§6).
8. The Federal Reserve's lending data rules out a systemic banking liquidity crisis (§7).

8.3 Falsifiability

Each conclusion above is independently falsifiable:

1. If BBBY's share count timeline is incorrect, the SEC filings documenting the Hudson Bay convertible and B. Riley ATM would contain different figures. They do not.
2. If the cross-ticker correlation is not infrastructure-dependent, it would persist at non-HFT latencies (>1 second). Paper I, §4.14 shows it does not. Additionally, the Empirical Shift Test (§2.5) shows the anomalous signal vanishes at a 100ms offset — if the correlation were not algorithmically driven, it would not exhibit this sharp 0-lag spike.

2b. If the correlation is not microwave-dependent, NBBO spreads would not widen during corridor storms. They do (p = 0.009). Furthermore, if the widening were a generalized market effect, Chicago and New Jersey would widen symmetrically. They do not: Chicago tightens while NJ widens (p = 0.021).

3. If RECAPS dates are randomly distributed relative to GME events, the binomial test would fail. It does not (p = 0.01 for exact-day matches).
4. If the funding is not yen-denominated, USD/JPY should be uncorrelated with GME event windows. It is correlated in the expected direction.
5. If Rule 605 has been independently investigated, a FOIA request would appear in the logs. None does.

---

9. Limitations

9.1 BBBY Position Data

The 701M share count from Docket #2631 represents the Cede & Co. balance at security deletion. With ~739M shares outstanding at bankruptcy, the 94.9% capture rate is within normal DTC operational range. The BBBY case does not provide evidence of phantom entitlements. Its forensic value lies in documenting the death-spiral financing mechanism (convertible preferred with blocker provisions, ATM dilution) and demonstrating that DTC position data becomes accessible through bankruptcy court proceedings.

9.2 RECAPS Statistical Power

The exact-day binomial test achieves significance (p = 0.01) but relies on a hand-selected event list. The failure of both objective tests (top-15 volume, top-15 returns) means the RECAPS finding cannot be generalized beyond the specific events tested. A larger sample of notable events across multiple basket securities would strengthen or refute the finding.

9.3 Carry Trade Attribution

The yen exchange rate data is consistent with carry trade dynamics but does not prove that the specific entities identified in Papers II and III used yen-denominated funding. FX data reveals aggregate market behavior, not firm-level positioning.

9.4 FOIA Log Completeness

The FOIA logs document *requests* filed with the SEC, not the SEC's own internal investigative activity. It is possible that the SEC has independently investigated Rule 605 or odd-lot execution quality through its Division of Enforcement without any external FOIA request triggering the inquiry. The absence of external requests indicates a gap in external scrutiny, not necessarily a gap in internal oversight.

---

10. Conclusion

This paper has presented evidence from eight data domains — federal bankruptcy records, nanosecond-precision consolidated tape analysis (the 17.70 Z-Score Empirical Shift Test), telecom licenses, settlement mechanics, central bank exchange rates, pension fund financials, FOIA transparency logs, and Federal Reserve lending data — that independently corroborate the adversarial microstructure findings of Papers I–III.

No single external data source is sufficient to prove market manipulation. Collectively, however, they satisfy the consilience standard: five independent, non-manipulable data sources converging on the same structural explanation, each generated by regulatory bodies with no financial interest in the outcome.

The remaining evidentiary gap — definitively attributing the adversarial activity to specific entities — requires the subpoena-powered investigation proposed in Paper III, §3.2. The external evidence presented here provides the predicate for such an investigation: the RECAPS calendar provides the timing motive, the bankruptcy court data documents the institutional infrastructure (death-spiral financing, blocker provisions, DTC position reports), the FCC data confirms the physical infrastructure, and the FOIA data confirms the absence of prior regulatory inquiry.

References

1. Whewell, W. (1840). *The Philosophy of the Inductive Sciences, Founded Upon Their History.* London: John W. Parker.
2. Wilson, E.O. (1998). *Consilience: The Unity of Knowledge.* New York: Alfred A. Knopf.
3. DTCC (2024). "RECAPS Schedule for 2025." Important Notice A# 9079, November 12, 2024.
4. DTCC (2025). "RECAPS Schedule for 2026." Important Notice A# 9676, November 13, 2025.
5. Federal Reserve Board of Governors. FRED Series DEXJPUS: Japan / U.S. Foreign Exchange Rate.
6. Nomura Holdings (2024). "Yen Carry Trade Sizing and Risk." Q3 2024 Research Note.
7. CalPERS Annual Financial Reports, FY2019–FY2023.
8. Citadel Securities (2024). "Citadel Securities Makes Minority Investment in McKay Brothers." BusinessWire, November 12, 2024.
9. U.S. Bankruptcy Court, District of New Jersey. Case 23-13359-VFP. Docket #2631, Filed October 27, 2023.
10. FCC (Federal Communications Commission). Universal Licensing System: Pierce Broadband LLC licenses.
11. SEC (Securities and Exchange Commission). FOIA Request Logs, December 2019 – January 2026.
12. Federal Reserve Board of Governors. Discount Window Lending Data, Q1 2021.
13. Shkilko, A. & Sokolov, K. (2020). "Every Cloud Has a Silver Lining: Fast Trading, Microwave Connectivity, and Trading Costs." *Journal of Finance*, 75(6), 2899–2927.
14. Roll, R. (1984). "A Simple Implicit Measure of the Effective Bid-Ask Spread in an Efficient Market." *Journal of Finance*, 39(4), 1127–1139.
15. Open-Meteo (2026). Historical Weather API. archive-api.open-meteo.com.
16. ITU-R P.838 (2005). "Specific attenuation model for rain for use in prediction methods."
17. Anon (2026a). "The Long Gamma Default." *Paper I of IV: Theory.* Independent Research.
18. Anon (2026b). "The Shadow Algorithm." *Paper II of IV: Evidence & Forensics.* Independent Research.
19. Anon (2026c). "Exploitable Infrastructure." *Paper III of IV: Policy & Attribution.* Independent Research.

Appendices

A. RECAPS Date Schedule (2021–2024)

The complete list of 96 RECAPS dates used in the analysis is available in the supplementary data files at github.com/TheGameStopsNow/research.

B. FOIA Log Methodology

Monthly CSV files were downloaded from sec.gov and concatenated into a single dataset. Search was performed using case-insensitive substring matching. Files with non-standard encodings (3 of 140+) were excluded. The complete search script is available in the supplementary materials.

C. Replication

All data sources cited in this paper are publicly available. Replication code is maintained at github.com/TheGameStopsNow/research.